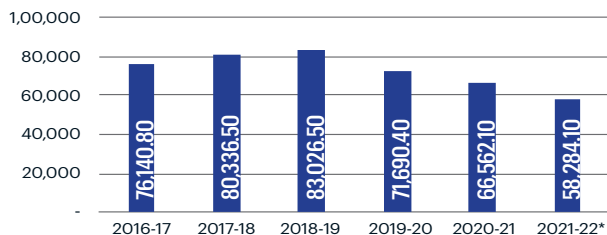


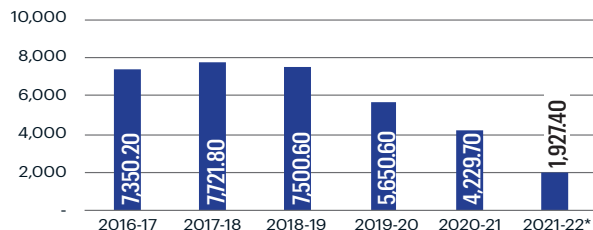
THE BIG PICTURE

Sales and profits of Maruti Suzuki have been sliding the past few years...

Gross Sales (₹ crore)



Net Profit (₹ crore)

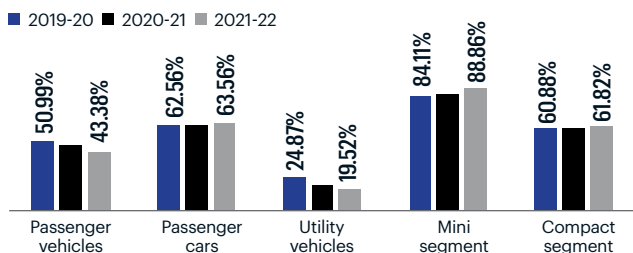


*APRIL-DECEMBER 2021; STANDALONE RESULTS
SOURCE: BSE, COMPANY FINANCIAL RESULTS

... but its share across most key automobile segments has largely held steady over the past three years

Maruti Suzuki Market Share

SOURCE: SIAM



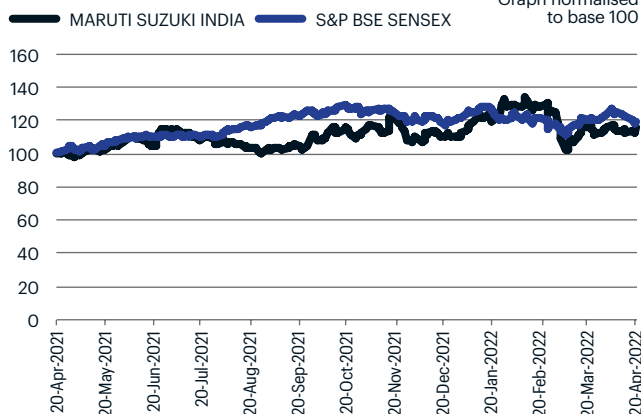
HEAD TO HEAD

Maruti's stock has largely underperformed the BSE Sensex in the past year

Maruti vs Sensex

SOURCE: ACE EQUITY

Graph normalised to base 100



another ₹3,100 crore for ramping up production capacity for EVs by 2025.

Experts have questioned Suzuki's investments in EVs rather than Maruti directly doing it. "Whether Suzuki or Maruti makes the investment is an issue between Suzuki and non-Suzuki shareholders of MSI... Analysts covering MSI may worry about whether EVs will come under MSI's portfolio and thus worry about long-term view on the stock. I do not think Suzuki would consciously devalue MSI stock and also let substantial factory investments in MSI lie unutilised. It is likely that the IP will be held with Suzuki and eventually some ICE lines will be retooled for EV much like BMW in Germany," says Subhabrata Sengupta, Executive Director, Avalon Consulting.

Takeuchi, however, clears the air on why Suzuki chose to invest in Gujarat. "We will introduce EVs one by one. The first EV must be produced somewhere either in Gujarat or Haryana. There was a consideration where to produce it. One of the advantages of producing at the Gujarat plant is that it is close to a port. We'll strongly market this EV in India but at the same time, it's a strategically important model for Suzuki globally because this is one of its first EVs," he says. Suzuki expects this EV to be strong in exports and also do well domestically. "Being closer to the port is one of the big advantages of the Gujarat factory. But if EVs become say 50 per cent of the total market, then of course every factory of Maruti [in India] and Suzuki in Gujarat will start producing them," he says.

Srikumar Krishnamurthy, VP & Co-Group Head, ICRA Limited, says EVs are still at a very nascent stage in the market and month-on-month growth is high in percentage terms because of a low base. "We expect the EV penetration to reach around 8 per cent by FY25. Both ICE and EVs are likely to co-exist in the medium term. Which technology will stick in the long term will depend on infrastructure set-up and consumer acceptance," he says.

According to other industry estimates, EV penetration in India will be 8-10 per cent by 2030. "That means the remaining portion of the cars will be non-EVs and those will be newly manufactured in the Indian market [these will stay on the roads for the next 15 years]. So, we have to employ all possible technologies to address that non-EV segment. We're also trying